somebody else. I'd like to own my seat, but I can't afford it." Mr. Zaret said he might move to Singapore and trade there. Or he might go back to school.

The great bugaboo of the futures trader was the out-trade. That's when you'd made a profitable deal during the day, but in the afternoon sorting of buys and sells, the other party to the transaction denied it ever happened. There were regular hearings to resolve such disputes, but often it was impossible to prove who signaled what to whom, especially in the crowded pits. Out-trades were rare in the days when traders knew each other as friends and there was honor among them. Now, out-trades were common.

The more I learned about this business the more perilous it seemed. If it was so difficult for the full-time traders to make money here, then what chance did the average investor have? Everything I'd seen and heard seemed to contradict the advertisements.

Again I went back to Mr. Epstein at Lind-Waldock to share my concern. He'd been honest and forthright from the start. As he explained it, things were even worse than I'd thought. "It's a hard way to make an easy living," he said. Attrition had inspired the Mercantile Exchange to create new categories of membership, making it easier and cheaper for people to become traders. "They've got to have warm bodies in the goddamn pits!" Finding new losers was a growing problem. The public relations people called this "providing liquidity." "Somebody has to take the other side of the trade," Mr. Epstein continued.

The average investor provided quite a bit of necessary liquidity, for which the exchanges were very thankful. In fact, Mr. Epstein guessed that between 85 and 95 percent of the average investors lost money in futures and options. Maybe it was as high as 97 percent. These were people like you and me, who occasionally got a great idea—silver's going up or corn is going down—and called their brokers to buy a few contracts.

Ninety-five percent losers was more than you'd ever see at roulette wheels, slot machines, jai alai, dog tracks, horse tracks, or any of the other activities we call gambling! I was so amazed by this estimate that I checked it with several other people. Bill Murschel, the public relations man at the Chicago Board of Trade, figured that 70 percent of the average investors lost money in